

CONFIDENTIAL INFORMATION MEMORANDUM

Pinnacle Healthcare Services, LLC

Industry: Healthcare Services — Outpatient Rehabilitation

Headquarters: Nashville, TN

Founded: 2009 | Employees: 1850

Prepared for Qualified Institutional Buyers

1. Executive Summary

Pinnacle Healthcare Services is a leading provider of outpatient physical therapy and rehabilitation services operating 78 clinics across the Southeastern United States. The Company generated \$127M in revenue and \$19.1M in Adjusted EBITDA for the trailing twelve months ending Q3 2024. Pinnacle has completed 12 tuck-in acquisitions since 2019, building a dense regional network with strong referral relationships with over 2,200 referring physicians.

2. Investment Highlights

- Defensive healthcare services with non-discretionary demand
- 78 clinics with proven de novo and M&A; growth playbook
- 15% Adjusted EBITDA margin with pathway to 18%+
- Diversified payor mix: 45% commercial, 32% Medicare, 23% other
- Strong same-store growth of 6.2% driven by volume and rate increases
- Fragmented market with 50,000+ independent PT clinics nationally

3. Financial Summary

Metric	FY2022	FY2023	FY2024E	FY2025E
Revenue (\$M)	98.2	112.5	127.0	146.1
YoY Growth (%)	12%	15%	13%	15%
Gross Profit (\$M)	53.0	61.9	71.1	83.3
Gross Margin (%)	54%	55%	56%	57%
Adjusted EBITDA (\$M)	12.7	15.8	19.1	24.8
EBITDA Margin (%)	13%	14%	15%	17%
Capex (\$M)	5.9	7.9	8.9	10.2
Free Cash Flow (\$M)	4.8	6.2	8.5	12.4
Clinics	58	68	78	92
Visits (000s)	890	1020	1150	1340
Revenue per Visit (\$)	110	110	110	109
Patient Satisfaction (NPS)	72	74	76	78

4. Clinic Performance by Region

Region	Clinics	Revenue (\$M)	EBITDA (\$M)	Margin	Avg Visits/Day
Tennessee	22	38.1	6.5	17%	32
Georgia	18	27.9	4.5	16%	29
Alabama	14	20.3	3.0	15%	27
Florida	12	22.9	3.2	14%	35
Carolinas	12	17.8	1.9	11%	24

5. Key Risks

- Medicare reimbursement rate changes (CMS proposed -3.4% cut for 2025)
- Therapist recruitment and retention in tight labor market
- Integration risk from rapid acquisition pace
- Geographic concentration in Southeast (82% of revenue)

6. Change of Control Provisions

Section 12.1 — Assignment and Change of Control: This Agreement may not be assigned by either party without prior written consent. In the event of a Change of Control (defined as a merger, consolidation, or sale of all or substantially all assets), payor contracts representing approximately \$41M in annual revenue (32% of total) require payor notification and consent within 60 days. Medicare provider enrollment must be updated with CMS within 90 days of any ownership change exceeding 5%.